

a drop of 18%, which sounds reasonable. However, [Table 22.3](#) shows that in bull markets, about 60% of stocks will fail to see price drop that far.

The lower portion of the [Table 22.10](#) shows how often various heights change the success rate. Using the full height like I did in the example, price will reach the target 62% of the time, on average. Of course, your mileage may vary.

Head-and-shoulders. Look to the left of the cup to see if another handle looks like the one on the right. If so, then you may have a head-and-shoulders top. Consult the head-and-shoulders top chapter for more information on trading that chart pattern.

Open short. This reminds me of the time I tested my new circuit board for the Patriot air defense system. Each time I applied power to the board, the breaker tripped. I discovered that the layout people wired power to ground. *Oops.*

When price closes below the right rim low, open a short position. Be sure to use a stop or other method to exit the stock in case price rises.

Close short. If price drops quickly—a straight-line run of several points in a few days—consider closing out your short when price stops declining. Sometimes the snapback rally sees price rebound quickly.

Trendline. Another exit method is to draw a trendline down the right side of the cup, touching the top of the handle and extended lower. After a downward breakout, the slope of the decline will usually be steeper than the slope of that trendline (so price drops below the line). When price closes above the trendline, exit the trade.

If price forms a new trend downward, one steeper than the cup-to-handle trendline, draw a new down-sloping trendline along price peaks. When price closes above the new trendline, close out the position.

Measured move down. Look for a measured move down chart pattern. In some cases, the handle is the corrective phase of a measured move. If the second leg of the pattern mirrors the length of the first leg, be ready to close out the short. See the measured move down chart pattern for details.

Stop location. Consult [Table 22.7](#) to see if placing a stop above the handle might work as a stop location. Before placing a trade, convert the potential